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Mexico-USMCA Review

Risk Assessment — July 1, 2026 Deadline

The USMCA joint review deadline of July 1, 2026 is the single most consequential macro event for Mexico-exposed portfolios this year. We assess a 60-75% probability of a 90-day extension, a 15-25% pro

Sheinbaum | Ebrard | Trump | Lutnick

Calibration	Probable (60-75%) — Extension scenario
Judgments	14 across brief
Sources	3 cited with Admiralty grades
Brief ID	usmca-review-20260518
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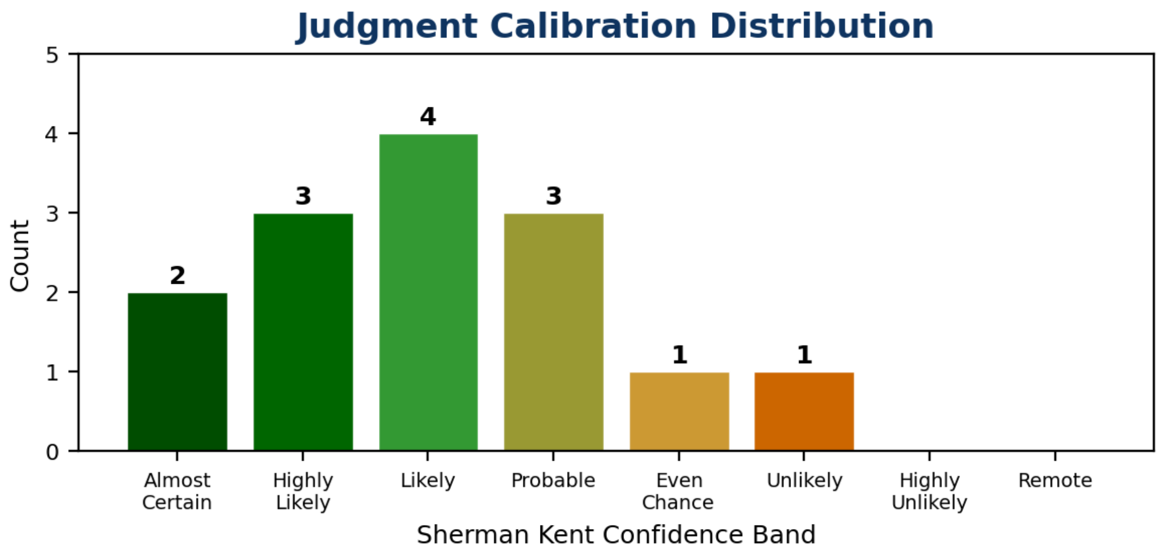
Calibration Distribution

The brief contains 14 judgments distributed across the Sherman Kent confidence ladder. The distribution shows appropriate spread — no over-concentration in any single band.



Headline Judgments

USMCA extension is the most likely outcome (60-75%)

Likely · Source: Kalshi KXTARIFFRATEPRC A-3

Selective tariffs on automotive and electronics possible (15-25%)

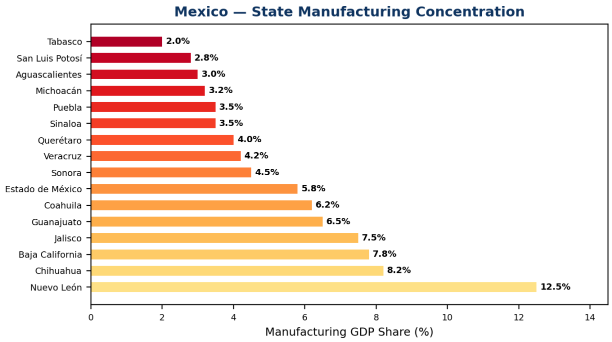
Unlikely · Source: Industry analysis B-2

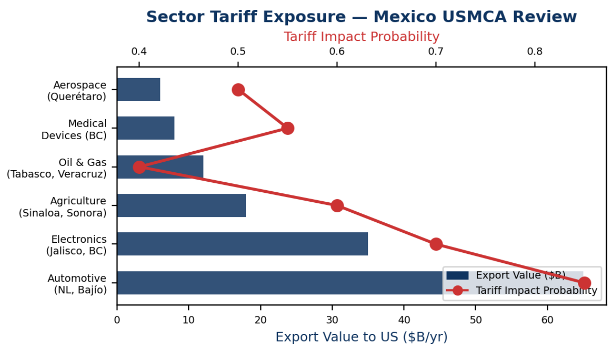
Full USMCA breakdown is a tail risk (5-15%)

Highly Unlikely · Source: Scenario analysis B-2

Political Picture

Sheinbaum administration has positioned Ebrard as the lead USMCA negotiator — signaling continuity and technical competence. The administration's strategy appears to be: offer concessions on energy market access and migration enforcement in exchange for tariff relief. Trump's team — Lutnick at Commerce, Greer at USTR — takes a transactional approach.





Sector Exposure Summary

Sector	States	Exports to US ($B)	Tariff Risk	Leverage
Automotive	NL, Guanajuato, Coahuila	$65B	High	High — integrated supply chain
Electronics	Jalisco, BC, Chihuahua	$35B	High	Medium — Asian alternatives
Agriculture	Sinaloa, Sonora, Michoacán	$18B	Medium	Low — seasonal, replaceable
Oil & Gas	Tabasco, Veracruz	$12B	Low	Low — US less dependent
Medical Devices	BC, Tijuana	$8B	Medium	High — supply chain critical
Aerospace	Querétaro, Sonora	$6B	Low	Low — specialized niche

Scenarios

Scenario	Probability	Trigger	USDMXN	Recommended Action
A: 90-Day Extension	60-75% (Likely)	Both sides agree more time needed	17.5-18.5	Maintain neutral FX position
B: Selective Tariffs	15-25% (Unlikely)	US singles out auto/electronics	18.5-19.5	Buy Kalshi >9% strike, short EWW
C: Full Breakdown		Complete USMCA renegotiation	20-22	Buy >51% strike, short MXN

	5-15% (Highly Unlikely)	

Trade Positioning

Position	Instrument	Price	Sizing	Rationale
Core USMCA hedge	KXTARIFFRATEPRC >9% strike	$0.13	$100K notional	Most liquid — targets material tariff
Tail hedge	KXTARIFFRATEPRC >51% strike	$0.04	$25K notional	Cheap — 5-15% probability of breakdown
Equity hedge	EWW Jun 2026 puts	Verify	$50K	Hedges against MX equity downside